Brazil Macro Monthly
Wait and See

- The US-Iran war can affect the Brazilian economic landscape due to the relevance of oil prices to the country's exports, fiscal revenue and inflation dynamics. Yet, considering the current high degree of uncertainty, we maintain our assumption of oil prices at USD 60 per barrel. We present alternative forecasts throughout the report.
- Flávio Bolsonaro is working on delivering a government plan and defining regional alliances; Planalto sees the 6x1 work schedule as a way to recover popularity ratings.
- Income and credit impulses should spur activity this year, following weakness in the second half of last year. Our projection for 2026 GDP growth remained at 2.0%. For 2027, we anticipate a 1.2% gain, reflecting fiscal adjustment measures and still restrictive monetary conditions.
- Tax revenues remain strong in the short term, helping the government meet fiscal targets. Higher oil prices would reinforce this trend. However, we continue to see public debt on an upward trend, and fiscal risks may rise as the election approaches.
- The current account deficit is expected to remain elevated in 2026 (3.1% of GDP), reflecting the anticipated acceleration in economic activity in the short run. Higher oil prices pose an upside risk to exports.
- We continue to see political, fiscal, and global uncertainties putting pressure on Brazilian risk premia in the second half of the year. Thus, we maintain our year-end exchange rate projection at 5.60 reais per dollar, while acknowledging stronger levels in the near term.
- Fundamentals remained benign for short-term inflation, but a sharp and persistent increase in oil and fuel prices is an upside risk. For now, we kept our IPCA inflation forecasts at 3.8% for 2026 and 4.0% for 2027.
- We continue to see the Copom starting an easing cycle this month and pausing to evaluate in the second half of the year. Our baseline scenario assumes five consecutive 50-bp cuts until the Selic rate reaches 12.50%. If oil prices continue to rise, the BCB may opt to begin the cycle more moderately, with a 25-bp cut.

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XP Forecasts

	2020	2021	2022	2023	2024	2025	2026 (F)	2027 (F)
Economic Activity								
Nominal GDP (USD Bn)	1,475	1,670	1,951	2,190	2,178	2,315	2,512	2,562
Nominal GDP (BRL Bn)	7,610	9,012	10,080	10,943	11,779	12,739	13,565	14,346
GDP growth (%)	-3.3	4.8	3.0	3.2	3.4	2.3	2.0	1.2
Unemployment rate (% s.a., end of period)	14.7	11.7	8.3	7.6	6.5	5.3	5.6	6.2
Inflation								
IPCA (CPI, %)	4.5	10.1	5.8	4.6	4.8	4.3	3.8	4.0
Monetary Policy								
SELIC rate (% p.a., end of period)	2.00	9.25	13.75	11.75	12.25	15.00	12.50	11.00
Public Finances								
Central government primary balance (% GDP)	-9.8	-0.4	0.5	-2.4	-0.4	-0.5	-0.4	-0.5
Primary balance for target calculation (% GDP)*	–	–	–	–	-0.1	-0.1	0.0	0.3
Public sector primary balance (% GDP)	-9.2	0.7	1.2	-2.3	-0.4	-0.4	-0.4	-0.4
Public sector overall balance (% GDP)	-13.6	-4.3	-4.6	-8.8	-8.5	-8.3	-8.6	-8.1
General government gross debt (% GDP)	86.9	77.3	71.7	73.8	76.5	78.7	83.4	87.7
Net public sector debt (% GDP)	61.4	55.1	56.1	60.4	61.5	65.3	69.6	73.8
External Accounts and FX								
FX (USDBRL, end of period)	5.20	5.58	5.28	4.86	6.17	5.49	5.60	5.80
Trade Balance (USD Bn)	35.7	42.3	51.5	92.3	65.8	60.0	56.4	63.3
Exports (USD Bn)	210.7	284.0	340.2	343.8	339.9	350.9	354.1	364.3
Imports (USD Bn)	175.0	241.7	288.7	251.5	274.0	290.9	300.1	301.0
Current Account (USD Bn)	-24.9	-40.4	-42.2	-27.9	-61.2	-68.8	-78.4	-60.2
Current Account (% GDP)	-1.7	-2.4	-2.2	-1.3	-2.8	-3.0	-3.1	-2.3
FDI (USD Bn)	38.3	46.4	74.6	62.4	71.1	77.7	75.0	79.0
FDI (% GDP)	2.6	2.8	3.8	2.9	3.2	3.4	3.0	3.1

* Excludes court-ordered payments beyond the limit
Source: IBGE, BCB, BBG, XP

Foreword – Geopolitical tensions have an ambiguous impact on Brazil

Global inflows into EM have reached record highs in 2026, boosting asset prices across different regions. In Brazil, the BRL strengthened further and the Ibovespa is up 20% year-to-date. Nominal interest rates declined as the Brazilian Central Bank (BCB) signaled the beginning of an easing cycle starting in March.

At the same time, global geopolitical tensions have intensified following the escalation of the US-Iran conflict. Oil prices are now roughly 30% up year-to-date, reaching around USD 80 per barrel. It remains difficult to assess whether these tensions will reverse EM inflows due to rising risk aversion; or, instead, reinforce them, particularly toward commodity-exporting emerging markets such as Brazil.

For now, we have maintained our Brent price assumption at USD 60 per barrel, given the high degree of uncertainty surrounding this outlook. A higher oil price scenario would boost Brazilian exports and fiscal revenues, while also exerting upward pressure on inflation (see table below).

In such an environment, global factors dominate market dynamics and idiosyncratic domestic drivers tend to lose explanatory power. Nonetheless, domestic fundamentals remain important, as they are likely to return to investors' radar screens once (and if) global winds begin to fade.

On the domestic front, we see positive news, but also some relevant risks.

Inflation has remained benign, supported by declining prices of industrialized goods (reflecting cheaper imports from China) and foodstuff (helped by the stronger BRL and solid grain production). Economic activity experienced a soft patch in the second half of 2025 but is already showing signs of a gradual rebound. The BCB has felt comfortable signaling upcoming rate cuts, while maintaining a cautious tone given the scale of fiscal stimulus expected this year and the uncertainty surrounding BRL dynamics.

Political uncertainty is also increasing as the presidential campaign approaches. Flavio Bolsonaro's candidacy gained momentum, suggesting a polarized election against President Lula. Nevertheless, an alternative center-right candidate cannot be ruled out. Regardless of the election outcome, the next administration will face fiscal challenges. The country continues to run a primary deficit even with tax revenues at record highs, which clearly points to the need to reform public spending dynamics.

Against this backdrop, we have not made material changes to our forecasts. In addition to the aforementioned oil price, another key variable is the exchange rate. Our structural models suggest that levels close to 5 reais per dollar are broadly consistent with fundamentals, particularly in such a supportive global environment. However, considering the political and fiscal risks ahead, it is reasonable to anticipate some increase in the risk premium. Accordingly, we keep our year-end 2026 forecast at 5.60 reais per dollar.

Moreover, we project GDP growth of 2.0%, IPCA inflation at 3.8%, and that the BCB will deliver five consecutive 50-bp rate cuts starting this month, followed by a pause for evaluation, leaving the Selic rate at 12.50%. If oil prices remain on the rise, however, the BCB may opt to begin the easing cycle more cautiously, with a 25-bp cut.

XP forecasts sensitivity to Brent oil price changes

Brent	Trade Balance	Central government primary deficit	Inflation
USD/barrel	USD Bn	BRL Bn	%
60 (XP baseline scenario*)	62.5	48.9	3.8
70	71.0	38.2	4.2
80	79.5	27.5	4.5

Source: XP

* We assume an average BRL at 5.50 in 2026

Global backdrop – Global appetite for EM assets vs. rising geopolitical tensions

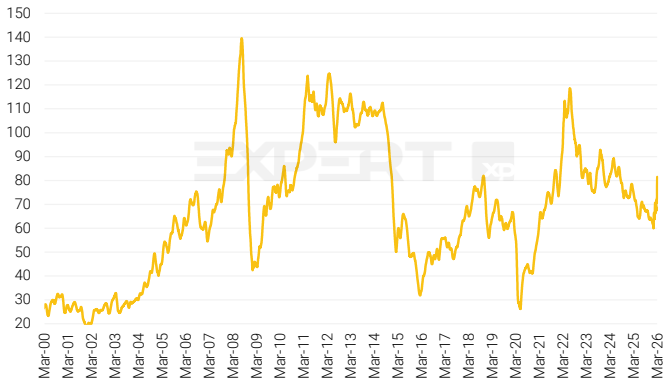
Caio Megale

Another month of strong inflows into EM. In February, global investors continued to rebalance their portfolios away from developed markets — particularly the US — toward EMs, commodities, and other alternative assets. In this environment, the BRL has continued to strengthen, with benign implications for domestic inflation. Nevertheless, it remains difficult to assess whether this trend will persist, especially in light of escalating geopolitical tensions.

Oil prices: oversupply versus the US–Iran conflict. Market pundits have highlighted the risk of excess oil supply, which could exert downward pressure on prices over the course of the year. However, the recent escalation of tensions between the US and Iran has pushed prices higher, reflecting concerns over disruptions to logistics and transportation routes. Given the high degree of uncertainty, we maintain our baseline assumption of Brent oil at USD 60 per barrel.

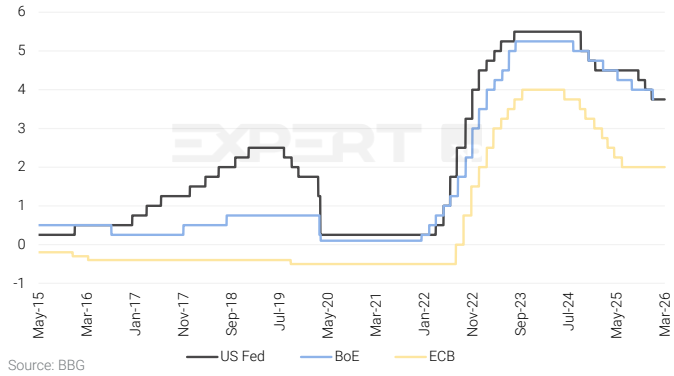
The Fed is likely to remain on hold in the coming months. Economic activity in the US has remained relatively solid, while inflation continues to run above the target. Accordingly, we maintain our view that the Fed will keep its policy rate unchanged for the foreseeable future. We also do not anticipate significant monetary policy shifts from other major developed-market central banks, including the ECB, BoE, and BoJ.

Is the rise in Brent due to the conflict in Iran permanent?
Brent crude oil (USD/barrel)



Source: BBG

Additional rate cuts are unlikely
Policy Rate (%)



Source: BBG

BRAZIL – Wait and See

Political environment – Flávio Bolsonaro seeks to resolve pending issues, while the government tries to react to the polls

Paulo Gama and XP Politics

March is expected to keep the political spotlight on the early steps of Senator Flávio Bolsonaro's pre-campaign and on the government's response to the unfavorable opinion polls that followed the Carnival period.

Having consolidated his position among opposition voters, Flávio begins the month seeking to resolve pending issues. These include negotiations over state-level campaign alliances and the presentation of a government program intended to convey greater solidity to his candidacy. Topics such as the economy and public security are likely to gain prominence, while the Senator continues his search for a potential future Finance Minister, to be announced in the coming months.

Before that, however, the immediate focus lies on efforts to reestablish ties with figures considered strategically important for the campaign. After repairing relations with Pastor Silas Malafaia, of the Assembleia de Deus church, and appearing alongside the governor of São Paulo, Tarcísio de Freitas, a gesture of reconciliation between the senator and former First Lady Michelle Bolsonaro still remains pending. Such a rapprochement is widely regarded as essential for her to resume nationwide political engagements at the head of PL Mulher (the women's wing of the Liberal Party – Partido Liberal), with the aim of attracting female and conservative voters, particularly in Brazil's Northeast.

Another topic expected to gain momentum throughout the month is the fallout involving the subpoena of the records of President Lula's son, known as Lulinha, within the investigation into fraud involving the INSS (Brazil's National Social Security Institute), which has already been authorized by the Supreme Court (STF). From the perspective of Flávio's pre-campaign, the bet is that the content of these documents could fuel the narrative used against the Planalto Palace on the campaign trail.

Beyond the INSS case, the political environment in Brasília remains affected by investigations involving Banco Master. The reassignment of the case rapporteur at the STF — now under Justice André Mendonça — has heightened concerns among political actors about the possibility of a plea-bargain agreement (in Brazilian criminal law, suspects may cooperate with authorities in exchange for reduced penalties).

Meanwhile, the government begins the month trying to understand why its approval ratings remain broadly unchanged from the levels observed at the end of last year. This occurs despite public security receiving less attention in the political debate — compared with the end of the previous year — alongside favorable economic indicators and the implementation of a personal income tax exemption for individuals earning up to BRL 5,000 per month, as well as a reduction for those earning up to BRL 7,350.

Aware of the gap between voters' perception of the economy and the underlying economic indicators, the presidential administration's strategy is to emphasize an aspirational policy agenda, particularly progress in discussions on revising working-time regulations and the proposal of free public bus transportation.

Although the issue of public-transport fares remains at a preliminary stage within the government, the proposal to eliminate the 6×1 work schedule (a labor arrangement common in Brazil involving six consecutive working days followed by one day of rest) has gained traction in Congress and could be approved in the Chamber of Deputies before the electoral period. The government is expected to use the month of March to reinforce its proposal with lawmakers, based on three pillars: reducing the schedule to 5×2, establishing a 40-hour workweek, and ensuring no reduction in wages.

There are also ongoing political discussions surrounding the first bimonthly fiscal report on revenues and expenditures, scheduled to be presented on March 22. Uncertainty remains regarding revenues, particularly the portion expected from the sale of the federal government's rights in production-sharing contracts. Against this backdrop, the government is also discussing the possibility of issuing a decree imposing the IOF (Tax on Financial Transactions) on tax-exempt securities (financial instruments in Brazil currently exempt from income tax, such as certain infrastructure or agribusiness bonds), although the details and scope of the measure remain under internal discussion.

Activity – Weakness in late 2025, acceleration in early 2026

Rodolfo Margato

Flattish GDP in the second half of last year. GDP edged up 0.1% QoQ in Q4, following stability in Q3. This followed a sharp rise in the first semester. On the supply side, manufacturing industry and construction stood out on the downside, while the services sector remained resilient. On the demand side, fixed asset investment fell significantly, and household consumption was stable. Meanwhile, the external sector contributed positively to overall economic growth, owing to a surge in exports. For a detailed analysis of the 25Q4 GDP results, click here.

Hence, the Brazilian economy grew 2.3% in 2025, the weakest performance in five years. Contractionary monetary policy and a smaller fiscal impulse (especially in the first half) largely explained the slowdown in domestic activity. Excluding the contribution from agriculture and extractive industry, total GDP would have increased by 1.3%. These less cycle sensitive sectors were boosted by the record grain harvest and rising oil production. Domestic absorption — the sum of household consumption, government consumption, and fixed asset investment — advanced 1.7% in 2025, after 3.6% in 2024.

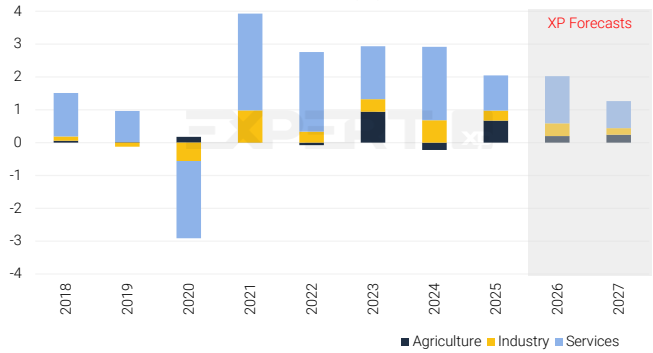
Income and credit impulses should reaccelerate activity this year. We estimate that government measures will add 0.9 pp to annual GDP growth. These include the personal income tax reform, the new payroll deductible credit line for private sector workers, and credit programs for home renovations and truck purchases (see table). A significant increase in state government spending and the continued expansion of household disposable income should also contribute to the pickup in economic activity this year. For details, see our reports Public investment will rise sharply in 2026, mostly driven by States; and Household income will increase by about 4.5% in 2026.

Our projection for 2026 GDP growth remained at 2.0%. We forecast that total GDP will rise by 0.9% QoQ in Q1. Despite a smaller statistical carryover effect (0.2 pp versus 0.7 pp) and a relatively modest contribution from agriculture and livestock, whose annual growth is expected to slow from 11.7% to 2.5%, we believe GDP will rise at a pace similar to last year.

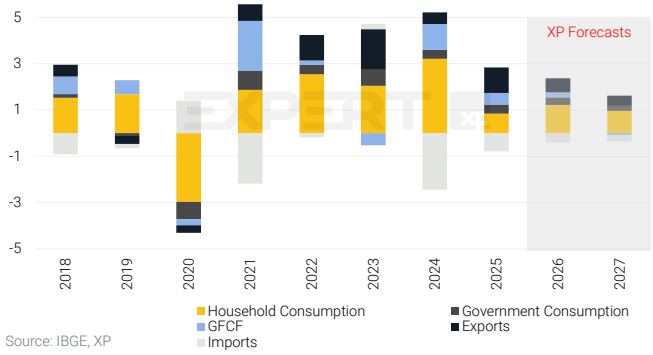
Fiscal adjustment measures are likely to slow the economy in 2027. The fiscal impulse tends to turn negative next year, although we acknowledge the high degree of uncertainty surrounding economic policy. In addition, interest rates should remain at restrictive levels (see Monetary Policy section). **We therefore kept our forecast that GDP will grow by 1.2% in 2027.**

Supply side constraints are increasingly evident. In particular, the labor market remains very tight. Labor shortages are a

Services sector will be the dominant contributor to 2026 GDP growth on the supply side
Relative contribution to overall GDP variation (pp)

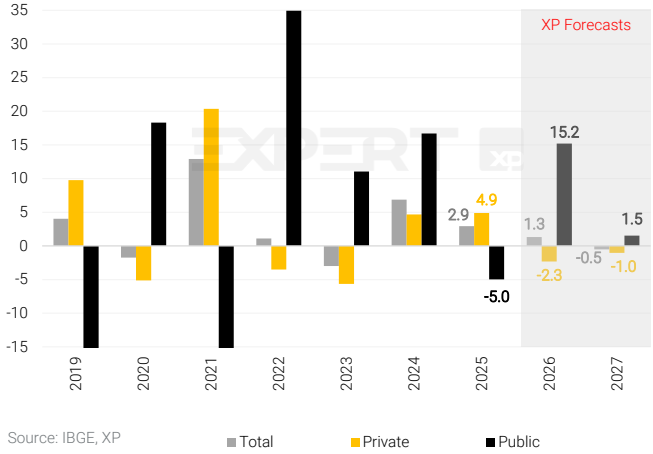


On the demand side, household consumption is expected to accelerate, underpinned by income and credit impulses
Relative contribution to overall GDP variation (pp)



Source: IBGE, XP

Strong expansion in state governments spending will prevent total investment from falling in 2026
Annual variation (%)



Source: IBGE, XP

Income and credit impulses: net effects in 2026	Impact on activity	
	BRL billion	% GDP
Personal income tax (IRPF) reform *	33.0	0.24
Payroll-deductible loans for private sector workers	40.0	0.30
Credit for home renovations (*Reforma Casa Brasil*)	15.0	0.11
Credit for truck purchases (*Move Brasil*)	10.0	0.07
New type of mortgage loans **	10.0	0.07
Expansion of the *Minha Casa Minha Vida* housing program	8.0	0.06
Subsidies on electricity bills for low-income families (*Luz do Povo*)	4.5	0.03
Gas voucher for low-income families (*Gás do Povo*)	1.7	0.01
Total	**122.2**	**0.90**

* The fiscal impact considers the reducing effect of compensation measures (minimum effective tax rate for high-income individuals)
** It takes into account the impact of stricter restrictions on early "FGTS anniversary" withdrawals
Source: Federal Government, National Treasury Secretariat, XP

recurrent concern across sectors and regions. In our view, the scenario of unemployment rate at historically low levels (below 6.0%) and wage growth outpacing labor productivity is unlikely to be reversed in the near term. In this context, the output gap — a measure of slack defined as the difference between actual and potential GDP growth — should approach neutrality only by mid-2027.

XP Forecast (%)

GDP Breakdown	2023	2024	2025	2026 (F)	2027 (F)
Agriculture & Livestock	16.3	-3.7	11.7	2.5	3.0
Industry	1.7	3.1	1.4	1.5	0.8
Services	2.8	3.8	1.8	2.2	1.3
Total GDP	**3.2**	**3.4**	**2.3**	**2.0**	**1.2**
Household Consumption	3.2	5.1	1.3	1.9	1.5
Government Consumption	3.8	2.0	2.1	1.7	1.1
Gross Fixed Capital Formation	-3.0	6.9	2.9	1.3	-0.5
Exports	8.9	2.8	6.2	3.4	2.5
Imports (-)	-1.2	15.6	4.5	2.1	1.6

Source: IBGE, XP

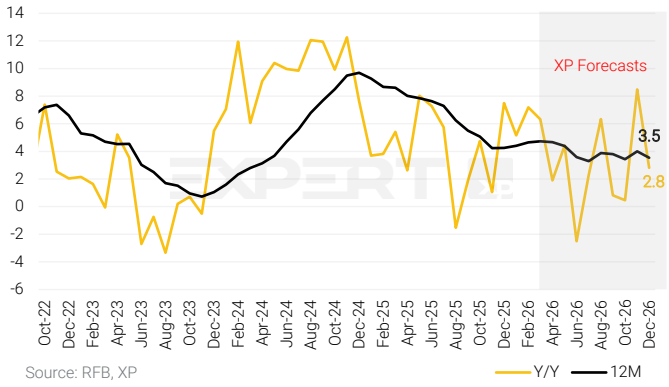
Public Finance – Risks remain amid short-term calm

Tiago Sbardelotto

Higher revenues continue to support the government in the short term. The central government posted a primary surplus of BRL 86.9 billion in January, slightly below our estimates. More importantly, tax revenues rose 5.2% in real terms compared to the same month last year, showing resilience despite the slowdown in economic activity. On the expenditure side, social security benefits and personnel spending increased sharply, broadly in line with expectations.

We maintain our deficit forecast for this year. Tax revenues should continue to grow above economic activity, partly due to revenue-raising measures, including the recent increases in import tariff rates on capital goods. Our projection points to a total deficit of BRL 48.9 billion (0.4% of GDP). Excluding off-target expenditures, we see a surplus of BRL 1.5 billion (0.0% of GDP), within the range between the lower tolerance limit (zero) and the midpoint of the primary balance target (BRL 34.3 billion).

We expect tax revenues to continue expanding above GDP
Taxes admistered by RFB and social security (%, Dec/26 prices)

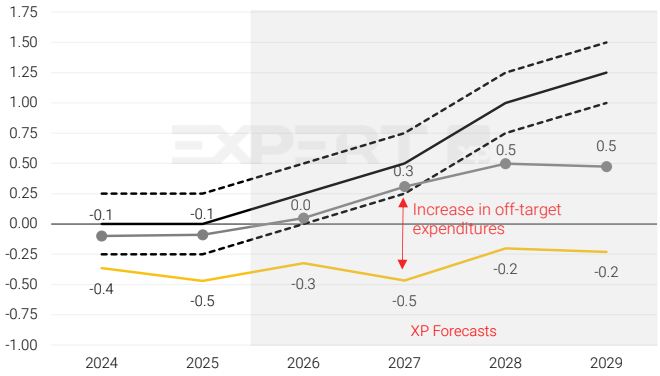


Source: RFB, XP

Higher oil prices represent an upside risk to revenues. The recent spike in oil prices in response to the conflict in Iran — from roughly USD 60 to USD 80 per barrel — could generate additional net revenues of BRL 21.4 billion this year. Given the elevated uncertainty, we keep our baseline assumption of oil at USD 60 for now. However, if the conflict and its effects persist, meeting the government's fiscal target this year could become even easier.

Expenditure still needs to be adjusted to comply with the spending limit. On the one hand, social security benefits and BPC/LOAS spending appear underestimated in the budget bill — for instance, the official projections assume a 6% decline in the number of beneficiaries. On the other hand, personnel spending has been running well below budget estimates. **Even so, we estimate the need for a spending block of at least BRL 6 billion to ensure benefit payments.**

Overall primary deficit remains below the target
Primary balance and targets (% of GDP)



Source: 2026 Budget Bill, XP

Targets — XP (including exp. beyond the limit) — XP

A key source of risk for benefit expenditures stems from a potential reduction in the backlog of applications. The backlog of benefit requests reached a record high of 3 million at end of 2025. Our baseline scenario assumes a slow and gradual reduction throughout 2026 and 2027, with an estimated fiscal

impact of BRL 26 billion. A faster reduction, however, would require a larger spending block.

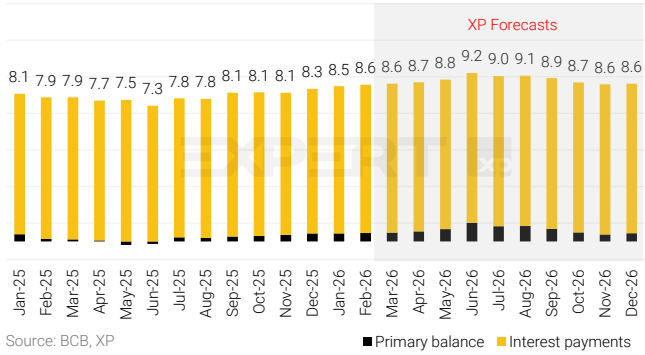
The 2027 projection is largely unchanged. Slower economic activity combined with the absence of new revenues should deteriorate the primary balance next year. We now estimate a deficit of BRL 73.2 billion (0.5% of GDP), compared with BRL 76.6 billion (0.5% of GDP) in the previous report. However, once exclusions for target-calculation purposes are considered, we estimate a surplus of BRL 43.3 billion (0.3% of GDP) — slightly above the lower tolerance limit of the target, which corresponds to a surplus of BRL 36.6 billion (0.25% of GDP).

The public sector deficit increases, driven by states and SOEs. Recent data indicate a deterioration in regional government results, mainly due to faster state-level spending growth in recent months, a trend that should persist. Similarly, state-owned enterprises should continue to post sizable deficits, primarily reflecting Correios' payment of overdue liabilities. **We forecast that the consolidated public sector (Federal Government, regional governments, and SOEs) will run deficits of BRL 60.0 billion in 2026 (0.4% of GDP) and BRL 62.1 billion in 2027 (0.4% of GDP).**

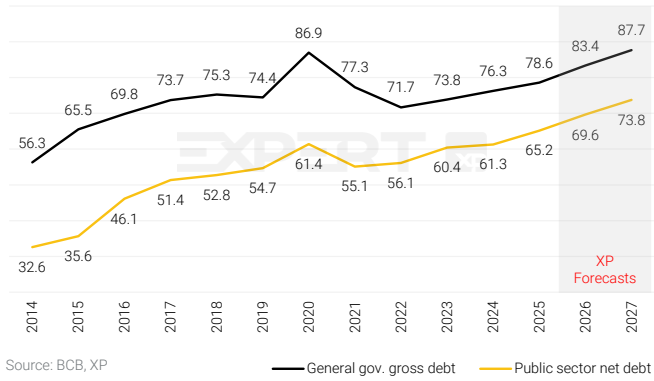
Debt growth accelerates in 2026. Nominal interest payments have reached the highest level since 2016, and the pass-through of higher interest rates to the cost of debt should continue in the coming months. Combined with slower GDP growth and the persistence of primary deficits, this should accelerate debt accumulation, taking gross general government debt to 83.4% and 87.7% of GDP by the end of 2026 and 2027, respectively. Public Sector Net Debt (NPSD) should reach 69.6% of GDP this year and 73.8% in 2027.

The international backdrop currently provides short-term relief, but reversal risks remain. Despite Brazil's structural fiscal imbalance, its relatively favorable position compared with peers has attracted foreign capital inflows, leading to a significant appreciation of domestic assets, particularly the exchange rate. Nevertheless, idiosyncratic risks remain latent and may intensify as the presidential election approaches, especially amid policy proposals with potentially large fiscal costs. Such risks tend to accumulate quietly under a supportive external environment, but once they become unsustainable (or if global conditions shift), they may trigger a rapid reversal of capital flows, with adverse effects not only on financial assets but also on the broader economy. For this reason, we remain cautious about the domestic outlook, as fiscal imbalances persist and are unlikely to be addressed this year.

Nominal deficit should remain under pressure due to interest payments
(% of GDP)



Debt growth should accelerate in 2026 and 2027
(% of GDP)



External Accounts – Conflict between the US and Iran poses significant risks to our projections

Luíza Pinese

We have marginally revised our 2026 current account deficit forecast to incorporate the import of an oil platform in February (approximately USD 2.4 billion). Accordingly, our projection increased from USD 76.0 billion to USD 78.4 billion. Beyond this one-off adjustment, the still-elevated deficit (3.1% of GDP) reflects our expectation of accelerating domestic activity, which should continue to support demand for imported goods and services while keeping the primary income account of the balance of payments at relatively high levels.

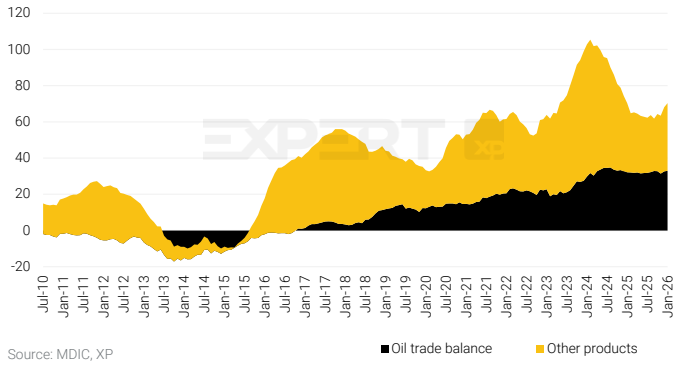
Higher oil prices could result in a smaller deficit than currently projected. Our baseline scenario assumes Brent crude oil at USD 60 per barrel (see the 'Global Background' section). Following the escalation of the conflict in Iran, prices rose to USD 80 per barrel. As oil is Brazil's main export product – accounting for approximately 13% of total exports – and domestic production remains on an upward trajectory, higher prices have a significant impact on the trade balance. At current price levels, exports would increase by approximately BRL 17 billion (all else equal), reducing the current account deficit to 2.4% of GDP.

On the downside, fiscal and credit stimulus measures in an election year may place additional pressure on external accounts beyond our baseline scenario. Furthermore, given the region's relevance to the sector, a further escalation of the conflict could raise the cost of imported fertilizers and weigh on meat and poultry exports. Read more about the impacts on agribusiness here.

For 2027, we project a current account deficit of USD 60.2 billion (2.3% of GDP). A moderation in domestic absorption next year should help ease external imbalances. Although there have been meaningful structural changes within the current account – such as the intellectual property and telecommunications services – part of the adjustment remains linked to domestic economic conditions. In addition, the lagged effects of US monetary policy are expected to continue narrowing the interest income deficit.

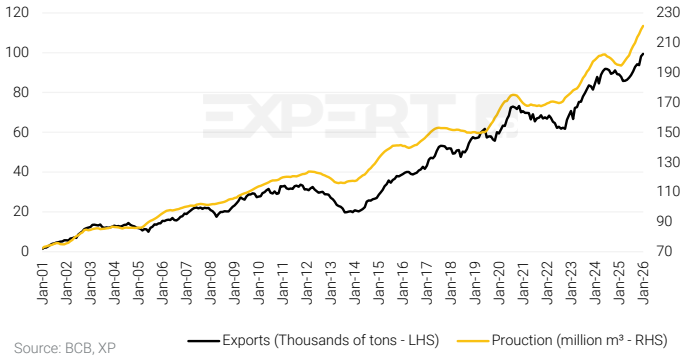
Strong Foreign Direct Investment (FDI) inflows resume. After a negative outcome in December, FDI resumed the upward trend observed throughout last year. Despite persistent global political and trade uncertainties, we expect net FDI inflows to remain robust in 2026 and 2027. According to the UN World Investment Monitor Report, greenfield investments in data centers accounted for more than one-fifth of new global projects, with Brazil ranking as the fourth-largest destination in

Oil is highly relevant to Brazil's trade balance
Trade balance (USD Bn)



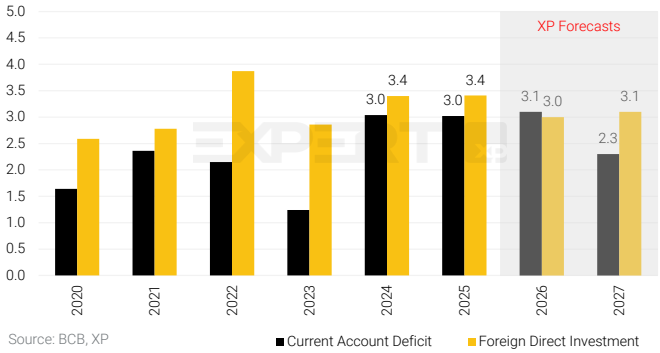
Source: MDIC, XP

Increasing domestic production should maintain oil exports strong
Crude oil production and exports



Source: BCB, XP

FDI helps to finance the current account deficit, but the scenario still requires close monitoring
(% of GDP)



Source: BCB, XP

this segment. The country's ample energy supply and increasing strategic importance in critical minerals should continue to underpin its attractiveness to FDI, particularly in these areas. **We project net inflows of USD 75.0 billion in 2026 (3.0% of GDP) and USD 79.0 billion in 2027 (3.1% of GDP).** These inflows should continue to provide partial financing for the current account deficit. Nevertheless, the deficit remains elevated and requires close monitoring.

We have maintained our YE 2026 exchange rate forecast at 5.60 per dollar, while acknowledging a stronger BRL in the near term.

We continue to assess that political, fiscal, and global uncertainties may increase risk premia on Brazilian assets in the second half of the year. Our structural models indicate a nominal exchange rate close to 5.00 reais per dollar, broadly in line with the level observed at the beginning of the year. We currently see the global balance of risks as broadly balanced. While the conflict between the US and Iran adds uncertainty – given that heightened geopolitical tensions typically weigh on risk assets – Brazil benefits from higher oil prices. In this context, we reiterate our view of a benign scenario in the first half of the year, supporting lower average exchange rate levels. We also maintain our assessment that domestic risks (particularly political and fiscal) are likely to exert pressure in the second half of the year.

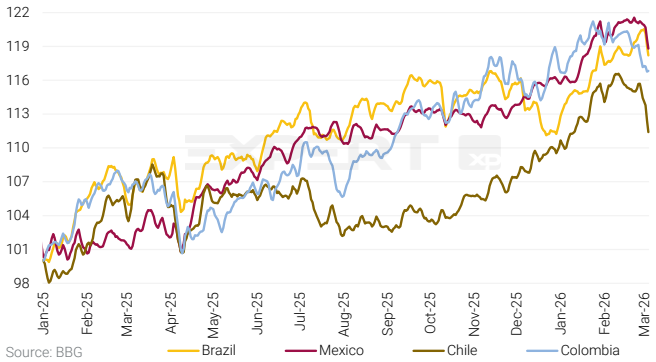
For YE 2027, we project the exchange rate at 5.80 reais per dollar, reflecting a scenario in which fiscal measures are insufficient to deliver a structural adjustment.

XP - Balance of Payments Forecasts — USD Bn

	2023	2024	2025	2026 (P)	2027 (P)
Current account	**-27.1**	**-66.2**	**-68.8**	**-78.4**	**-60.2**
Trade Balance	**92.3**	**65.8**	**60.0**	**54.0**	**63.3**
Exports	343.8	339.9	350.9	354.1	364.3
Imports	251.5	274.0	290.9	300.1	301.0
Services	**-43.8**	**-55.2**	**-52.9**	**-56.9**	**-52.0**
Transportation	-12.7	-15.1	-14.3	-13.0	-12.0
Intellectual property	-5.5	-8.7	-11.2	-13.0	-14.5
Equipment rental	-9.7	-11.2	-11.9	-12.9	-10.5
Cultural services	-4.1	-4.8	0.2	0.4	0.0
Others	-11.8	-15.5	-15.7	-18.4	-15.0
Income	**-75.6**	**-76.8**	**-75.8**	**-75.5**	**-71.5**
Primary Income	-79.5	-81.3	-81.3	-80.0	-76.0
Profits and Dividends	-50.0	-50.6	-53.6	-53.4	-48.0
Interest	-29.7	-31.2	-28.1	-27.0	-25.0
Others	0.3	0.5	0.4	0.4	0.4
Secondary Income	3.9	4.5	5.5	4.5	4.5
FDI	**62.8**	**74.1**	**77.7**	**75.0**	**79.0**
Equity Capital	52.8	64.6	62.4	66.0	70.0
Intercompany transactions	9.9	9.5	15.3	9.0	9.0

Source: BCB, XP

The US–Iran conflict has weakened Latin American currencies
Exchange rate index, Jan/2025 = 100 (upward move = appreciation).



Source: BBG

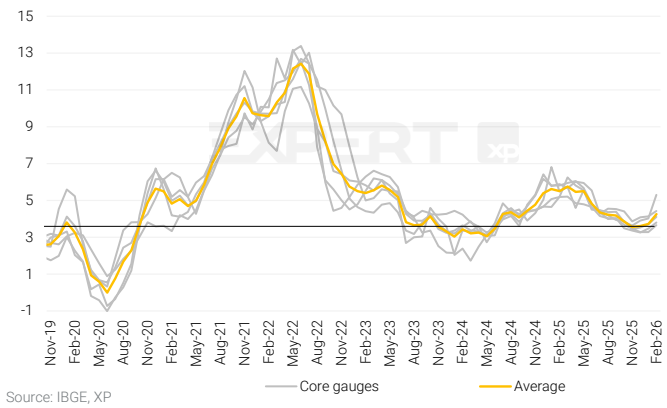
Inflation – 3.8% projection for 2026 and 4.0% for 2027; Oil remains an upside risk

Alexandre Maluf

The latest inflation preview surprised the market. The February IPCA-15 rose by 0.84% MoM, well above expectations. However, a closer look at the main components suggests that the qualitative picture is less concerning. Despite temporary pressures from airfares and vehicle insurance, key service items — such as rents and condominiums fees — remained well behaved, while food inflation continues to show weak dynamics.

We maintain our IPCA projection at 3.8% for 2026, although oil prices represent a clear upside risk. As previously discussed, our baseline scenario assumes an average Brent price of USD 60 per barrel in 2026, significantly below the current level (around USD 80). Under this assumption, we do not expect fuel price adjustments by Petrobras. However, if the recent rally in Brent proves persistent, a gasoline price increase will likely become unavoidable. According to our estimates, if Brent

Services inflation spurred IPCA core measures in February
IPCA-15, 3M SAAR (%)



Source: IBGE, XP

stabilizes around USD 70, the impact on this year's IPCA would be 40bps. At USD 80, the impact would rise to roughly 70bps. These calculations incorporate effects on both free and administered prices.

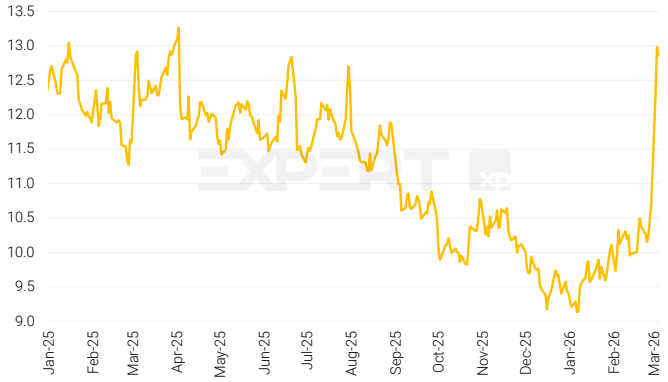
Regarding IPCA components, we continue to project a gradual moderation in service inflation. The labor market remains tight, with unemployment at historically low levels and wages continuing to rise. In addition, economic activity is expected to reaccelerate over the course of the year, supported by household consumption and strong public investment in the run-up to the elections. Even so, inflation expectations have receded and inflationary inertia continues to decline. As a result, we expect service inflation to slow from 6.0% in 2025 to 5.3% in 2026. For underlying services, we project a more modest decline, from 5.8% to 5.6% over the same period.

Food inflation is expected to remain in deflationary territory in the near term. As anticipated, food prices were broadly stable in the February IPCA-15 reading. From a fundamentals perspective, the appreciated exchange rate, and weaker commodity prices have led to a sharp decline in the agricultural producer price index (IPA-FGV). With the exception of meat, food prices should remain well behaved during the first half of the year. In the second half, however, assuming a moderate El Niño and seasonal acceleration in protein prices, we expect food inflation to return to positive territory, ending 2026 at 3.6%.

Industrial goods inflation accelerated at the beginning of the year but should remain contained. Price increases were concentrated in durable goods, including new cars, telephones, and IT equipment. We attribute this movement primarily to shortages of electronic components amid strong demand from US technology companies. While this dynamic may continue to affect near-term readings, it is already incorporated into our baseline scenario. Looking ahead, higher oil prices represent an upside risk, while the appreciated exchange rate and the deflationary global environment (particularly in China) act as counterweights. Overall, we project industrial goods inflation to remain close to 2% in 2026.

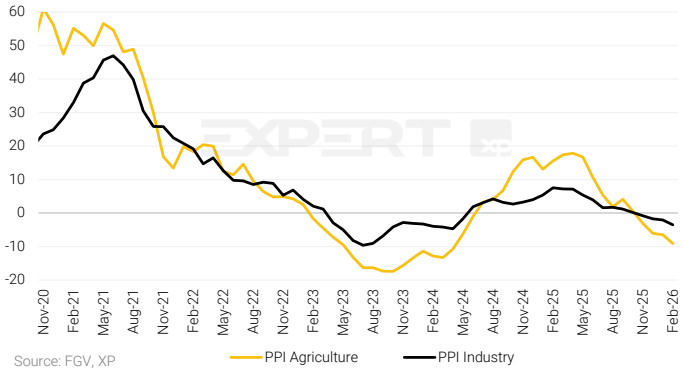
For 2027, we project inflation at 4.0%. This outlook reflects a still-challenging fiscal environment, with incomplete spending containment measures limiting the anchoring of inflation expectations. In addition, we assume moderate currency depreciation and somewhat higher food inflation, closer to historical averages. On the other hand, the expected slowdown in economic activity should contribute to a gradual moderation in service inflation.

Gasoline prices in BRL jumped 30% in recent days. Permanent?
Gallon price (BRL)



Source: BBG

Producer prices suggest a benign dynamic for short-term IPCA; oil is a risk
IPA-M, 12M



Source: FGV, XP

IPCA Groups 12M (%)

	2024	2025	2026 (F)	2027 (F)
Monitored prices	4.7	5.3	3.6	4.0
Market-set prices	4.9	3.9	4.0	4.0
Food at home	8.2	1.4	3.6	5.1
Industrials	2.9	2.4	2.0	2.5
Services	4.8	6.0	5.3	4.6
IPCA headline	**4.8**	**4.3**	**3.8**	**4.0**

Source: IBGE, XP

Monetary Policy – Fiscal policy and oil prices pose risks to the easing cycle ahead

Caio Megale

Easing cycle on the horizon. The inflation outlook remains benign, despite the upward surprise in February IPCA-15 (see inflation section above). Economic activity experienced a soft patch in the second half of 2025 but is already showing signs of a gradual rebound. In this context, the BCB felt comfortable signaling a rate cut in March, which will likely be followed by additional cuts in the coming months. Nevertheless, the monetary authority maintained a conservative tone amid government stimulus expected for this year and the uncertainty surrounding the BRL dynamics.

We continue to expect the Copom to begin the easing cycle this month, followed by a pause in the second half to evaluate. Our baseline scenario assumes five consecutive 50-bp cuts, bringing the Selic rate to 12.50%. In real terms, this would place the policy rate at around 8.0% - still above what we consider the neutral level – reflecting the fiscal challenges anticipated for the next presidential term.

Geopolitical tension is a key risk. The US-Iran conflict has pushed oil prices higher, currently about 30% above our baseline assumption (80 vs 60 dollar per barrel). If oil prices continue to rise, the BCB may opt to begin the easing cycle more moderately, with a 25-bp cut.

Balance of risks for inflation becomes more uncertain in the second half of the year. Climatic and other cyclical factors that boosted food supply are unlikely to repeat, while the BRL – and other Brazilian assets – tend to face pressure during election period. Thus, if the economy responds to electoral stimulus (as we believe it will), the inflation outlook for 2027 could deteriorate.

Fiscal sustainability represents an additional headwind for the 2027 balance of risks. As discussed in the previous sections, our baseline scenario assumes that the next government will implement expenditure-side measures, but not at a scale sufficient to stabilize the debt-to-GDP ratio. Under this scenario, we see room for the central bank to resume its easing cycle next year, albeit with limited scope.

To sum up, we see the Selic rate at 12.50% by YE2026 and 11.00% by YE2027.

Alternative scenarios will largely depend on fiscal policy after 2027. If even the "insufficient adjustments" embedded in our baseline scenario fail to materialize, the Central Bank is unlikely to have room for further rate cuts next year. Conversely, a more comprehensive fiscal adjustment could allow the Selic rate to return to its neutral level – which we estimate at around 5.5% in real terms.

XP Forecasts

	2020	2021	2022	2023	2024	2025	2026 (F) Prior	2026 (F) Current		2027 (F) Prior	2027 (F) Current	
Economic Activity												
Nominal GDP (USD Bn)	1,475	1,670	1,951	2,190	2,178	2,315	2,434	2,512	▲	2,463	2,562	▲
Nominal GDP (BRL Bn)	7,610	9,012	10,080	10,943	11,745	12,739	13,509	13,565	▲	14,287	14,346	▲
GDP growth (%)	-3.3	4.8	3.0	3.2	3.4	2.3	2.0	2.0	▬	1.2	1.2	▬
Unemployment rate (% s.a., end of period)	14.7	11.7	8.3	7.6	6.5	5.3	5.6	5.6	▬	6.2	6.2	▬
Inflation												
IPCA (CPI, %)	4.5	10.1	5.8	4.6	4.8	4.3	3.8	3.8	▬	4.0	4.0	▬
Monetary Policy												
SELIC rate (% p.a., end of period)	2.00	9.25	13.75	11.75	12.3	15.0	12.50	12.50	▬	11.00	11.00	▬
Public Finances												
Central government primary balance (% GDP)	-9.8	-0.4	0.5	-2.4	-0.4	-0.5	-0.4	-0.4	▲	-0.5	-0.5	▲
Primary balance for target calculation (% GDP)*	--	--	--	--	-0.1	-0.1	0.0	0.0	▲	0.3	0.3	▲
Public sector primary balance (% GDP)	-9.2	0.7	1.2	-2.3	-0.4	-0.4	-0.4	-0.4	▲	-0.4	-0.4	▲
Public sector overall balance (% GDP)	-13.6	-4.3	-4.6	-8.8	-8.5	-8.3	-8.6	-8.6	▲	-8.1	-8.1	▲
General government gross debt (% GDP)	86.9	77.3	71.7	73.8	76.5	78.7	83.5	83.4	▼	87.9	87.7	▼
Net public sector debt (% GDP)	61.4	55.1	56.1	60.4	61.5	65.3	69.8	69.6	▼	74.0	73.8	▼
External Accounts and FX												
FX (USDBRL, end of period)	5.20	5.58	5.28	4.86	6.17	5.49	5.60	5.60	▬	5.80	5.80	▬
Trade Balance (USD Bn)	35.7	42.3	51.5	92.3	65.8	60.0	56.4	56.4	▬	63.3	63.3	▬
Exports (USD Bn)	210.7	284.0	340.2	343.8	339.9	350.9	354.1	354.1	▬	364.3	364.3	▬
Imports (USD Bn)	175.0	241.7	288.7	251.5	274.0	290.9	297.7	300.1	▲	301.0	301.0	▬
Current Account (USD Bn)	-24.9	-40.4	-42.2	-27.9	-61.2	-68.8	-76.0	-78.4	▼	-60.2	-60.2	▬
Current Account (% GDP)	-1.7	-2.4	-2.2	-1.3	-2.8	-3.0	-3.1	-3.1	▲	-2.4	-2.3	▲
FDI (USD Bn)	38.3	46.4	74.6	62.4	71.1	77.7	75.0	75.0	▬	79.0	79.0	▬
FDI (% GDP)	2.6	2.8	3.8	2.9	3.2	3.4	3.1	3.0	▼	3.2	3.1	▼

* Excludes part of court-ordered payments and other expenditures

Source: IBGE, BCB, BBG, XP

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